Revision Date:
June 1, 2024

Background:
State regulation requires certain types of payments or benefits be excluded or exempted in whole or in part from consideration as income. All nonexempt income is to be counted towards the cash grant.

Purpose:
This section provides a list of income types that are not considered in CalWORKs program eligibility and benefits determination. Any income not listed as excluded or exempt will be treated as either earned or unearned income in the CalWORKs budget. This section also provides regulations on how to calculate Net Nonexempt Income (NNI). The purpose of this revision is to incorporate provisions on the treatment of Guaranteed Income (GI) payments. CalWORKs Program Memo No. 23-04 Addendum A, and other memos related to GI become obsolete with the issuance of this revision.

Policy:
Income In-Kind
The following income in-kind is excluded:
- Home produce such as from a garden, orchard, livestock, and poultry used by the Assistance Unit (AU) for their own consumption.
- Partial items of need.
- Any income in-kind (full or partial item of need) provided by a private nonprofit organization.

Infrequent Income
Any prospectively budgeted income which is received too infrequently to be reasonably anticipated is excluded, but not in excess of $30 per calendar quarter per AU.

Mileage Reimbursement
Actual mileage reimbursement when paid at a flat rate per mile, or as a repayment of actual costs, is excluded.

Child/Spousal Support Disregard
The first $100 (for a family with one child) or $200 (for a family with two or more children) in current child/spousal support received, reasonably anticipated to be received by an AU or collected on behalf of an AU is disregarded as income (CalWORKs Program Guide (CPG) 43-200.D).

When a child's needs are excluded from the Maximum Aid Payment (MAP) determination, under Senate Bill (SB) 380, the child's income and resources are also excluded (CPG 44-300.H).

Child Care Payment to the Provider
Child Care payments paid directly to the provider by the CalWORKs Child Care Payment System on behalf of CalWORKs customers are exempt as income.

Earned Income of a Child

A child is defined as a person receiving aid under their parent's case. A minor parent who is an adult in their own case is not considered a child.

The following types of income of a child are excluded or exempt from consideration:

- Earnings or incentive payments earned by a child 16 years of age or older who is participating in the Independent Living Program (ILP).
- Earnings of a child received from the Workforce Investment Act (WIA) Program.
- Earned income of a child under 19 if they are a full-time student or have a school schedule that is equal to at least one-half of a full-time curriculum and is not employed full time (part time is less than 173 hours per month). School attendance is defined as attendance in a school, college, university, or in a course of vocational or technical training designed to prepare the child for gainful employment and include participation in Job Corps program under the Economic Opportunity Act. The income exemption is applied during the school term, between terms, or during vacations if the child plans to return to school following the vacation period.

Loans

A written agreement signed and dated by the lender and customer as parties to the agreement that clearly specifies both:

1) The obligation of the customer to repay the loan.
2) A repayment plan which provides for installments of specified amounts that continue on a regular basis until the loan is repaid.

Student Loans and Grants

The following loans and grants are not considered income:

- Loans made under Title III of the Federal Economic Act.
- Loans and grants received under the Carl D. Perkins Vocational and Applied Technology Education Act are excluded only to the extent that the proceeds are used to meet attendance costs for a student attending school on at least a half-time basis, as defined by the institution.
- Grants to any undergraduate student for educational purposes made or insured under any program administered by the Federal Secretary of Education.
- Loans or grants to undergraduate students when they are awarded based on the student's need. Certification from an official at the student's school is required. The certification must state that the award is based on need and that the CalWORKs grant was considered in making the award.
- Educational loans and grants to undergraduate students used to meet educational expenses such as fees, equipment, special clothing needs, or transportation.

Loans and Grants under Title IV of the Higher Education Act

Loans and grants under Title IV of the Higher Education Act or under the Bureau of Indian Affairs student assistance program which are not considered income include:

- Supplemental Educational Opportunity Grant Program.
- Carl D. Perkins Loans or Carl D. Perkins Vocational Act.
- Robert C. Byrd Honors Scholarship Program.
- National Science Scholarship Program.

- Cal Grant Program (State Student Incentive Grants) or Pell Grant.
- Paul Douglas Teacher Scholarship Program.
- College Work Study.
- Income Contingent (ICL), Stafford, Consolidation or Guaranteed Student (GSL) Loans.
- Bureau of Indian Affairs Higher Education Grant.
- Indian Health Services Scholarship Program.
- Federal Family Education Loan (FFEL).
- Supplemental Loans for Students (SLS) Program or Parent Loans for Students (PLUS).

College Work Study
Earnings from a college work study program including both Work Study under Title IV of the Higher Education Act and CalWORKs Work Study are excluded.

Academic or Extra-curricular Awards or Scholarships
Awards or scholarships provided by public or private entity to, or on behalf of, a dependent child are excluded.

Agent Orange Settlement Payment
Payments made from the Agent Orange Settlement Fund and from other funds established pursuant to the Agent Orange product liability court proceedings are excluded.

Native American Tribe Member
The following payments are exempt under federal law:

- Funds of Native American Tribes including interest earned and investment income derived from such funds, when the funds have been:
  - Distributed by the Secretary of the Interior on per capita basis, or
  - Held in trust by the Secretary of the Interior.
- Individual Native American income of up to $2,000 in any 12 consecutive month period that is derived from individually owned interests in a trust or restricted lands.

Alaskan Claims Settlement Act (ANSCA)
Cash Settlements including cash dividends on stock, land, or interest up to $2,000 per person annually received from a Native Corporation are exempt for individual Natives and descendants of Natives.

Senior Volunteer Service Income
A compensation received by customers 60 years of age or older for volunteer services under the Retired Senior Volunteer, Foster Grandparents or Older Americans Service Program of National Older Americans Act program is excluded.

Domestic Volunteer Services Act of 1973
AmeriCorps*VISTA, formerly known as Vista Volunteer, payments and payments made for supportive services or reimbursement of out-of-pocket expenses made to people serving in the Service Corps of Retired Executives (SCORE) and Active Corps of Executives (ACE) are excluded.

Children of Vietnam Veteran Born with Spina Bifida
Monetary allowances from the federal government for children of Vietnam veterans who are born with Spina Bifida are excluded.

Ricky Ray Hemophilia Fund
Any payments made to individuals with blood-clotting disorders, who contracted Human Immunodeficiency Virus (HIV), due to contaminated blood products in the process of medical treatment, from any fund established pursuant to this act are excluded.

California Achieving a Better Life Experience (ABLE) Accounts
The ABLE (or CalABLE in California) accounts allow disabled customers to save and invest money for disability related expenses, called Qualified Disability Expenses (QDE). Disability-Based-Income (DBI) deposited into the ABLE account is exempt. However, any remaining amount of the income not deposited into the account is counted after applying the Recipient Earned Income Disregard (EID). DBI may include benefits from the State Disability Insurance, Private Disability Insurance, Temporary Worker's Compensation, Social Security Disability or Veteran's Disability Compensation.

- The customer, family and friends can contribute to the ABLE account, up to a maximum of $14,000 per calendar year.
- Money in the ABLE account is excluded as income and resources.
- Withdrawals used toward QDE do not count as income.

United States (U.S.) Department of Veterans Affair (VA) Allowances
Effective 01/01/2018, under SB 570, benefits or allowances received by a veteran, dependent(s) of a veteran or a spouse of a veteran from the U.S. Department of VA for education, training, vocation or rehabilitation are exempt from consideration as income for CalWORKs eligibility and benefits determination.

The following exempt VA benefits and allowances include but are not limited to the following:

- Education and housing allowance under the Galvanized Iron (GI) Bill.
- Yellow Ribbon Program.
- Survivors and Dependent Assistance Program.
- Tutorial Assistance.
- License and Certification Reimbursement.
- Vocational Rehabilitation and Employment Services.
- National Call to Service Program.
- Compensated Work Therapy (CWT).

U.S. Census
Effective January 1, 2021, any census-related income or stipend earned is exempt for CalWORKs if the temporary work is related to the decennial census, regardless of the year paid. This includes all income paid by the U.S. Census Bureau, a governmental entity, or a nonprofit organization for temporary work related to improving participation in the decennial census.

Income from Public Sources

Income from the following sources is exempt:

- Relocation assistant benefits paid by a public agency to a person or family who has been relocated as a result of a program of area redevelopment, urban renewal, involving demolition or condemnation of existing housing.
- WIA payments made to a child, other than earnings, which are derived from participation in WIA programs, are disregarded as income for both eligibility and grant determination. This exemption does not apply to earnings paid under WIA to adults. However, payments to adults that are derived from participation in WIA programs are exempt as income if payment reimbursements do not exceed actual expenses.
- Employment Services advance payments and reimbursements.
- Advisory group out of pocket expenses of persons serving on advisory groups set by the California Department of Social Services (CDSS)/Health and Human Services Agency.
- California Franchise Tax Board payments including:
  - Renters Credits.
  - Senior Citizen Homeowners and Renters Property Tax Assistance Program (applies to persons who are disabled, blind or 62 years of age or older).
  - Senior Citizens Property Tax Postponement Program (applies to persons 62 years of age or older).
- Special Tax Credits and Rebates, or similar tax relief measures which state or federal law specially exclude from consideration as income.
- California Victims of Crimes Program.
- Department of Rehabilitation training program.
- Energy Assistance – Payments received under the Energy Crisis Assistance Program or the Low-Income Energy Assistance Program.

Federal Rent Supplements Under the Housing Act of 1965

When the customer qualifies for a rent supplement payment made by a federal agency (such as Housing and Urban Development (HUD), Section 8, etc.) the supplement made to the landlord or sponsor on behalf of the customer, is disregarded as income.

Making Work Pay Credit (MWPC)

Effective December 17, 2010, MWPC payments are excluded as income and resources for 12 calendar months.

Income Tax Refund Payments

Effective December 17, 2010, federal income tax refund payments are excluded as income, and excluded as resources for 12 calendar months from the date of receipt.

King v McMahon/Ball v Swoap Payments

These payments are issued to the customer as a result of a late favorable decision from an Administrative Hearing. The customer will receive $100 for each month the decision is delayed beyond the 90-day limit. The payment is issued by the CDSS is excluded.

Adoption Assistance Program (AAP)
AAP may be paid to an adoptive parent when the child is determined to be hard to place due to physical or emotional problems. AAP payments are excluded as income in determination of eligibility and grant amount.

Child Nutrition Act (WIC) and National School Lunch Act
The value of supplemental food assistance received under these programs is exempt as income.

Disaster Relief Payment
Any assistance received as the result of a natural disaster is exempt as income as specified by federal law. This includes any comparable disaster assistance provided by the state, local governments, and disaster assistance organizations.

Guaranteed Income (GI) Payments
GI payments are exempt from consideration as income and resources when determining CalWORKs eligibility and grant amounts. GI payments are unconditional cash payments issued from a program intended to support the basic needs of the participants and disrupt poverty. Unconditional payment means that there are no restrictions applied to how participants use their payments. Once a participant enrolls in a program, they do not need to engage in any conditional activities in order to receive payments (including, but not limited to, work requirements, participation in services, or any other mandatory activities). Each GI program has its own eligibility requirements for participation.

Recipient EID
The Recipient EID, which is allowed per AU not per individual, first exempts up to the threshold amount (refer to the appropriate Recipient EID Amount section below) of any DBI received. The remaining balance of the threshold amount is used as a disregard for any earned income, then 50% of the remaining earned income is disregarded.

Recipient EID Amount
Allow the following amounts as income disregard:

- **$225** through May 2020 (ACL No. 13-42).
  Refer to Processing Guide 44-100.C1 for any month during July 2011 and September 2013 (ACL No. 11-29).
- **$500** effective June 2020 (ACL No. 19-76).
- **$550** effective June 2021 (ACL No. 19-76).
- **$600** effective June 2022 (ACL No. 19-76).

Calculation of the NNI
The NNI, that is used to determine the AU's grant by subtracting the NNI from the AU's MAP, is calculated as follows:

- If the AU's DBI is less than the Recipient EID amount, all the DBI is disregarded and the unused amount of the Recipient EID amount plus 50% of the remaining earned income is disregarded - Any remaining earned income is treated as part of the AU's NNI.

- If the AU's DBI exceeds the Recipient EID amount, only the Recipient EID amount is disregarded from the DBI, plus 50% of any earned income is disregarded - Any remaining DBI and remaining earned income is treated as part of the AU's NNI.
- If the AU has earned income only, the Recipient EID amount is disregarded from the earned income, plus 50% of the rest of the earned income is disregarded - Any remaining earned income is treated as part of the AU's NNI.

Add any remaining DBI/earned income (from the calculations above) to any nonexempt unearned income of both the non-AU and AU members. The sum equals the NNI.
Refer to Processing Guide No. 44-100.C1, for procedures and examples.

Self-Employment Income
Self-employed customers can choose, as a business expense deduction, either:
- A standard 40% of gross income.
- Actual verified expenses.

Once the self-employed person chooses, the customer cannot change the method until renewal or every six months, whichever occurs first.

40% Disregard
Self-employed customers who choose the 40% disregard, will be allowed a 40% disregard on gross self-employed income.

Actual Expense
Allowable business expenses include, but are not limited to:
- Identifiable costs of labor.
- Stock.
- Raw material.
- Interest paid to purchase income producing property.
- Insurance premiums.
- Taxes paid on income producing property.

The following are not allowed as a business expense:
- Payments on the principal of the purchase price of income producing real estate and capital assets.
- Equipment.
- Machinery.
- Other durable goods.
- Net losses from previous periods.
- Federal, state and local income taxes.
- Money set aside for retirement purposes.
- Other work-related personal expenses (such as, transportation to and from work), and depreciation.

To determine the disregard, deduct the allowable business expenses from the gross income (including capital gains).

Income Averaging:

- Self-employment income received less often than monthly which represents the AU's annual income is to be averaged over a 12-month period, even if the AU receives income from other sources.
- Self-employment income that is intended to meet the AU's needs for only part of the year is to be averaged over the period of time the income is intended to cover.

For the period of time over which self-employment is averaged, add gross self-employment income (including capital gains), exclude the cost of producing the self-employment income, and divide the self-employment income by the number of months the income is to be averaged.

Room and Board Payments

Payments made to customers for room and board are considered self-employment income.

Garnishment of Wages

Money deducted from a customer's wages as a result of garnishment is not allowed as deduction.

Public Assistance Received from Another State

Aid payments received from another state are considered unearned income in the grant computation.

General Relief Payments

General Relief payments received in the same months of the CalWORKs application are considered unearned income in the grant computation.

Reception and Placement (R&P) Cash

R&P Cash/Voluntary Agency (VOLAG) funds may be considered resources or unearned income, depending on how they are disbursed.

- Funds given to the AU as a non-recurring (one-time) lump-sum payment, or issued in more than one payment in the same month, are counted as a resource.
- Funds given to the AU in several payments in more than one calendar month are counted as unearned income in the month received, even if disbursed as vendor payments – The income will be anticipated according to the appropriate Reporting/Budgeting regulations.

Examples:

If R&P income is received:	Then count as:
Non-recurring (one time) lump-sum payment	Resource
Multiple payments in the same month	Resource
Multiple payments over multiple months	Unearned Income

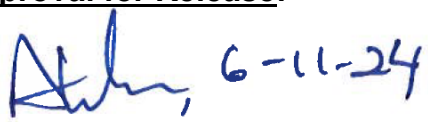
Impacts:
Refugee Cash Assistance (RCA) And Trafficking and Crime Victims Assistance Program (TCVAP)
CalWORKs regulations relating to financial eligibility and payments apply to RCA/TCVAP unless specifically superseded by RCA/TCVAP regulations, which exempt specific income and resources from the income eligibility determination.

Procedure:
- CPG 45-200 – Student Loans and Grants Desk Aid.
- Processing Guide No. 44-100.C1 – Computation of Net Nonexempt Income (NNI).

References:
- Eligibility Assistance Standards (EAS) 44-111, 44-315, 44-316.
- All County Letters (ACLs) No. 11-29, 13-42, 17-61, 17-125, 19-76, 19-106, 20-115, 21-99, 24-09.

Sunset Date:
This policy will be reviewed for continuance by June 30, 2027.

Approval for Release:



Rick Wanne, Director
Self-Sufficiency Services